

**SUBSTITUTE FOR
SENATE BILL NO. 877**

A bill to make, supplement, and adjust appropriations for various state departments and agencies, the judicial branch, and the legislative branch for the fiscal year ending September 30, 2026; to provide for certain conditions on appropriations; to provide for the expenditure of the appropriations; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

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PART 1

LINE-ITEM APPROPRIATIONS
FOR FISCAL YEAR 2025-2026

Sec. 101. There is appropriated for various state departments and agencies, the judicial branch, and the legislative branch to supplement appropriations for the fiscal year ending September 30, 2026, from the following funds:



APPROPRIATION SUMMARY

Full-time equated classified positions	53.8
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GROSS APPROPRIATION	\$ 1,036,914,900
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Interdepartmental grant revenues:	
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Total interdepartmental grants and intradepartmental transfers	500,000
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ADJUSTED GROSS APPROPRIATION	\$ 1,036,414,900
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Federal revenues:	
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Total federal revenues	533,531,800
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Special revenue funds:	
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Total local revenues	421,800
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Total private revenues	746,000
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Total other state restricted revenues	554,349,900
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State general fund/general purpose	\$ (52,634,600)
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Sec. 102. DEPARTMENT OF CIVIL RIGHTS**(1) APPROPRIATION SUMMARY**

Full-time equated classified positions	0.0
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GROSS APPROPRIATION	\$ 250,000
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Interdepartmental grant revenues:	
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Total interdepartmental grants and intradepartmental transfers	0
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ADJUSTED GROSS APPROPRIATION	\$ 250,000
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Federal revenues:	
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Total federal revenues	250,000
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Special revenue funds:	
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Total local revenues	0
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Total private revenues	0
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Total other state restricted revenues	0
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1	State general fund/general purpose	\$	0
2	(2) CIVIL RIGHTS OPERATIONS		
3	Complaint investigation and enforcement	\$	250,000
4	GROSS APPROPRIATION	\$	250,000
5	Appropriated from:		
6	Federal revenues:		
7	EEOC, state and local antidiscrimination agency		
8	contracts		250,000
9	State general fund/general purpose	\$	0
10	Sec. 103. DEPARTMENT OF ENVIRONMENT, GREAT		
11	LAKES, AND ENERGY		
12	(1) APPROPRIATION SUMMARY		
13	Full-time equated classified positions	0.0	
14	GROSS APPROPRIATION	\$	238,586,000
15	Interdepartmental grant revenues:		
16	Total interdepartmental grants and		
17	intradepartmental transfers		0
18	ADJUSTED GROSS APPROPRIATION	\$	238,586,000
19	Federal revenues:		
20	Total federal revenues		187,845,000
21	Special revenue funds:		
22	Total local revenues		0
23	Total private revenues		485,000
24	Total other state restricted revenues		50,256,000
25	State general fund/general purpose	\$	0
26	(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT		
27	Executive direction	\$	4,300,000
28	GROSS APPROPRIATION	\$	4,300,000



1	Appropriated from:		
2	Federal revenues:		
3	Federal funds		1,300,000
4	Inflation reduction act		3,000,000
5	State general fund/general purpose	\$	0
6	(3) WATER RESOURCES DIVISION		
7	Federal - Great Lakes remedial action plan		
8	grants	\$	1,162,000
9	Great Lakes restoration initiative		6,500,000
10	Water quality programs		1,331,000
11	GROSS APPROPRIATION	\$	8,993,000
12	Appropriated from:		
13	Federal revenues:		
14	Federal funds		6,500,000
15	Infrastructure investment and jobs act fund		2,493,000
16	State general fund/general purpose	\$	0
17	(4) REMEDIATION AND REDEVELOPMENT DIVISION		
18	Environmental cleanup and redevelopment program	\$	25,000,000
19	State sites cleanup program		25,256,000
20	GROSS APPROPRIATION	\$	50,256,000
21	Appropriated from:		
22	Special revenue funds:		
23	Cleanup and redevelopment fund		25,000,000
24	State site cleanup fund		25,256,000
25	State general fund/general purpose	\$	0
26	(5) MATERIALS MANAGEMENT DIVISION		
27	Energy programs	\$	4,125,000
28	Material management programs		8,054,000

1	GROSS APPROPRIATION	\$	12,179,000
2	Appropriated from:		
3	Federal revenues:		
4	Federal funds		1,163,000
5	Inflation reduction act		8,531,000
6	Infrastructure investment and jobs act fund		2,000,000
7	Special revenue funds:		
8	Private funds		485,000
9	State general fund/general purpose	\$	0
10	(6) WATER INFRASTRUCTURE		
11	Water state revolving funds	\$	123,273,000
12	GROSS APPROPRIATION	\$	123,273,000
13	Appropriated from:		
14	Federal revenues:		
15	Infrastructure investment and jobs act fund		123,273,000
16	State general fund/general purpose	\$	0
17	(7) ONE-TIME APPROPRIATIONS		
18	PFAS and emerging contaminants	\$	39,585,000
19	GROSS APPROPRIATION	\$	39,585,000
20	Appropriated from:		
21	Federal revenues:		
22	Infrastructure investment and jobs act fund		39,585,000
23	State general fund/general purpose	\$	0
24	Sec. 104. DEPARTMENT OF HEALTH AND HUMAN		
25	SERVICES		
26	(1) APPROPRIATION SUMMARY		
27	Full-time equated classified positions	53.8	
28	GROSS APPROPRIATION	\$	596,665,800



1	Interdepartmental grant revenues:		
2	Total interdepartmental grants and		
3	intradepartmental transfers		0
4	ADJUSTED GROSS APPROPRIATION	\$	596,665,800
5	Federal revenues:		
6	Capped federal revenues		274,100
7	Social security act, temporary assistance for		
8	needy families		(7,624,600)
9	Total other federal revenues		351,447,600
10	Special revenue funds:		
11	Total local revenues		421,800
12	Total private revenues		261,000
13	Total other state restricted revenues		309,520,500
14	State general fund/general purpose	\$	(57,634,600)
15	(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT		
16	Coordinated children's healthcare policy and		
17	supports	\$	1,000,000
18	GROSS APPROPRIATION	\$	1,000,000
19	Appropriated from:		
20	State general fund/general purpose	\$	1,000,000
21	(3) CHILDREN'S SERVICES AGENCY - CHILD WELFARE		
22	Adoption subsidies	\$	(3,486,300)
23	Child care fund		19,234,200
24	Foster care payments		(1,006,200)
25	Guardian assistance program		(283,500)
26	Strong families/safe children		500,000
27	GROSS APPROPRIATION	\$	14,958,200
28	Appropriated from:		



1	Federal revenues:		
2	Capped federal revenues		(40,900)
3	Social security act, temporary assistance for		
4	needy families		(8,007,100)
5	Total other federal revenues		(21,622,100)
6	Special revenue funds:		
7	Local funds - county chargeback		823,400
8	Private - collections		273,100
9	Total other state restricted revenues		100,000
10	State general fund/general purpose	\$	43,431,800
11	(4) PUBLIC ASSISTANCE		
12	Family independence program	\$	11,846,300
13	Food assistance program benefits		(121,721,100)
14	State disability assistance payments		(688,300)
15	State supplementation		(215,600)
16	GROSS APPROPRIATION	\$	(110,778,700)
17	Appropriated from:		
18	Federal revenues:		
19	Total other federal revenues		(121,721,100)
20	Special revenue funds:		
21	Child support collections		1,437,000
22	Public assistance recoupment revenue		(258,000)
23	Supplemental security income recoveries		(200)
24	State general fund/general purpose	\$	9,763,600
25	(5) LOCAL OFFICE OPERATIONS AND SUPPORT		
26	SERVICES		
27	Contractual services, supplies, and materials	\$	1,033,000
28	GROSS APPROPRIATION	\$	1,033,000



1	Appropriated from:		
2	Federal revenues:		
3	Total other federal revenues		301,900
4	State general fund/general purpose	\$	731,100
5	(6) BEHAVIORAL HEALTH PROGRAM ADMINISTRATION		
6	AND SPECIAL PROJECTS		
7	Behavioral health program administration	\$	(500,000)
8	Family support subsidy		382,500
9	Michigan clinical consultation and care		500,000
10	GROSS APPROPRIATION	\$	382,500
11	Appropriated from:		
12	Federal revenues:		
13	Social security act, temporary assistance for		
14	needy families		382,500
15	State general fund/general purpose	\$	0
16	(7) BEHAVIORAL HEALTH SERVICES		
17	Autism services	\$	52,089,900
18	Behavioral health community supports and		
19	services		8,300,000
20	Certified community behavioral health clinic		
21	demonstration		0
22	Federal mental health block grant		3,000,000
23	Healthy Michigan plan - behavioral health		(66,512,000)
24	Medicaid mental health services		25,903,200
25	Medicaid substance use disorder services		(13,849,200)
26	Nursing home PAS/ARR-OBRA		3,600,000
27	GROSS APPROPRIATION	\$	12,531,900
28	Appropriated from:		



1	Federal revenues:		
2	Total other federal revenues		(11,843,000)
3	State general fund/general purpose	\$	24,374,900
4	(8) STATE PSYCHIATRIC HOSPITALS AND FORENSIC		
5	MENTAL HEALTH SERVICES		
6	Full-time equated classified positions	53.8	
7	Caro Regional Mental Health Center -		
8	psychiatric hospital - adult	\$	4,294,600
9	Center for Forensic Psychiatry		12,719,400
10	Kalamazoo Psychiatric Hospital - adult		3,601,800
11	Southeast Michigan state psychiatric hospital -		
12	psychiatric hospital - adult, children, and		
13	adolescents--FTEs	53.8	7,894,400
14	Walter P. Reuther Psychiatric Hospital - adult,		
15	children, and adolescents		(20,096,200)
16	GROSS APPROPRIATION	\$	8,414,000
17	Appropriated from:		
18	Federal revenues:		
19	Total other federal revenues		(10,765,800)
20	State general fund/general purpose	\$	19,179,800
21	(9) HEALTH AND HUMAN SERVICES POLICY AND		
22	INITIATIVES		
23	Domestic violence prevention and treatment	\$	195,700
24	Rape prevention and services		119,300
25	GROSS APPROPRIATION	\$	315,000
26	Appropriated from:		
27	Federal revenues:		
28	Capped federal revenues		315,000

1	State general fund/general purpose	\$	0
2	(10) LOCAL HEALTH AND ADMINISTRATIVE SERVICES		
3	Local health services	\$	575,000
4	Violence prevention		3,250,000
5	GROSS APPROPRIATION	\$	3,825,000
6	Appropriated from:		
7	Federal revenues:		
8	Total other federal revenues		575,000
9	Special revenue funds:		
10	Total other state restricted revenues		3,250,000
11	State general fund/general purpose	\$	0
12	(11) FAMILY HEALTH SERVICES		
13	Dental programs	\$	0
14	GROSS APPROPRIATION	\$	0
15	Appropriated from:		
16	Federal revenues:		
17	Total other federal revenues		83,000
18	State general fund/general purpose	\$	(83,000)
19	(12) CHILDREN'S SPECIAL HEALTH CARE SERVICES		
20	Children's special health care services		
21	administration	\$	12,000
22	Medical care and treatment		14,354,800
23	GROSS APPROPRIATION	\$	14,366,800
24	Appropriated from:		
25	Federal revenues:		
26	Total other federal revenues		9,373,700
27	Special revenue funds:		
28	Total private revenues		12,000



1	State general fund/general purpose	\$	4,981,100
2	(13) HEALTH SERVICES		
3	Adult home help services	\$	(3,924,400)
4	Ambulance services		96,000
5	Auxiliary medical services		(743,700)
6	Dental services		4,361,300
7	Federally qualified health centers		30,112,200
8	Health plan services		408,122,300
9	Healthy Michigan plan		143,853,300
10	Home health services		12,614,700
11	Hospice services		47,744,700
12	Hospital services and therapy		28,684,600
13	Integrated care organizations		134,955,100
14	Long-term care services		(48,484,300)
15	Medicaid home- and community-based services		
16	waiver		(61,126,500)
17	Medicare premium payments		(9,281,100)
18	Personal care services		(8,900)
19	Pharmaceutical services		47,801,000
20	Physician services		(83,560,700)
21	Program of all-inclusive care for the elderly		19,893,400
22	School-based services		(34,850,800)
23	Special Medicaid reimbursement		4,329,200
24	Transportation		5,030,700
25	GROSS APPROPRIATION	\$	645,618,100
26	Appropriated from:		
27	Federal revenues:		
28	Total other federal revenues		502,066,000

1	Special revenue funds:		
2	Total local revenues		(401,600)
3	Total private revenues		(24,100)
4	Michigan merit award trust fund		12,999,900
5	Total other state restricted revenues		291,991,800
6	State general fund/general purpose	\$	(161,013,900)
7	(14) ONE-TIME APPROPRIATIONS		
8	Community health screenings	\$	(5,000,000)
9	Community health screenings		5,000,000
10	Implementation of maternal health policy		
11	changes		(299,700)
12	Implementation of maternal health policy		299,700
13	Medicaid work requirement grant		5,000,000
14	Underserved healthcare facility project		(1,500,000)
15	Underserved healthcare facility project		1,500,000
16	GROSS APPROPRIATION	\$	5,000,000
17	Appropriated from:		
18	Federal revenues:		
19	Total other federal revenues		5,000,000
20	State general fund/general purpose	\$	0
21	Sec. 105. DEPARTMENT OF INSURANCE AND FINANCIAL		
22	SERVICES		
23	(1) APPROPRIATION SUMMARY		
24	Full-time equated classified positions	0.0	
25	GROSS APPROPRIATION	\$	1,400,000
26	Interdepartmental grant revenues:		
27	Total interdepartmental grants and		
28	intradepartmental transfers		0

1	ADJUSTED GROSS APPROPRIATION	\$	1,400,000
2	Federal revenues:		
3	Total federal revenues		0
4	Special revenue funds:		
5	Total local revenues		0
6	Total private revenues		0
7	Total other state restricted revenues		1,400,000
8	State general fund/general purpose	\$	0
9	(2) INSURANCE AND FINANCIAL SERVICES REGULATION		
10	Financial institutions evaluation	\$	1,400,000
11	GROSS APPROPRIATION	\$	1,400,000
12	Appropriated from:		
13	Special revenue funds:		
14	Deferred presentment services transaction fees		1,400,000
15	State general fund/general purpose	\$	0
16	Sec. 106. DEPARTMENT OF LABOR AND ECONOMIC		
17	OPPORTUNITY		
18	(1) APPROPRIATION SUMMARY		
19	Full-time equated classified positions	0.0	
20	GROSS APPROPRIATION	\$	2,300,000
21	Interdepartmental grant revenues:		
22	Total interdepartmental grants and		
23	intradepartmental transfers		0
24	ADJUSTED GROSS APPROPRIATION	\$	2,300,000
25	Federal revenues:		
26	Total federal revenues		1,200,000
27	Special revenue funds:		
28	Total local revenues		0

1	Total private revenues	0
2	Total other state restricted revenues	100,000
3	State general fund/general purpose	\$ 1,000,000
4	(2) EMPLOYMENT SERVICES	
5	Private and occupational distance learning	\$ 100,000
6	Wage and hour program	100
7	Wage and hour program	(100)
8	GROSS APPROPRIATION	\$ 100,000
9	Appropriated from:	
10	Special revenue funds:	
11	Distance education fund	100,000
12	First responder presumed coverage fund	0
13	State general fund/general purpose	\$ 0
14	(3) MICHIGAN STRATEGIC FUND	
15	Arts and cultural program	\$ 450,000
16	GROSS APPROPRIATION	\$ 450,000
17	Appropriated from:	
18	Federal revenues:	
19	NFAH-NEA, promotion of the arts, partnership	
20	agreements	450,000
21	State general fund/general purpose	\$ 0
22	(4) ONE-TIME APPROPRIATIONS	
23	Office of future mobility and electrification	\$ 1,000,000
24	State historic preservation office grant	
25	program	750,000
26	GROSS APPROPRIATION	\$ 1,750,000
27	Appropriated from:	
28	Special revenue funds:	

1	State historic preservation, national park		
2	service grants		750,000
3	State general fund/general purpose	\$	1,000,000
4	Sec. 107. DEPARTMENT OF LICENSING AND		
5	REGULATORY AFFAIRS		
6	(1) APPROPRIATION SUMMARY		
7	Full-time equated classified positions	0.0	
8	GROSS APPROPRIATION	\$	39,700
9	Interdepartmental grant revenues:		
10	Total interdepartmental grants and		
11	intradepartmental transfers		0
12	ADJUSTED GROSS APPROPRIATION	\$	39,700
13	Federal revenues:		
14	Total federal revenues		39,700
15	Special revenue funds:		
16	Total local revenues		0
17	Total private revenues		0
18	Total other state restricted revenues		0
19	State general fund/general purpose	\$	0
20	(2) OCCUPATIONAL REGULATION		
21	Bureau of professional licensing	\$	39,700
22	GROSS APPROPRIATION	\$	39,700
23	Appropriated from:		
24	Federal revenues:		
25	Federal funds		39,700
26	State general fund/general purpose	\$	0
27	Sec. 108. DEPARTMENT OF NATURAL RESOURCES		
28	(1) APPROPRIATION SUMMARY		



1	Full-time equated classified positions	0.0
2	GROSS APPROPRIATION	\$ 33,849,400
3	Interdepartmental grant revenues:	
4	Total interdepartmental grants and	
5	intradepartmental transfers	0
6	ADJUSTED GROSS APPROPRIATION	\$ 33,849,400
7	Federal revenues:	
8	Total federal revenues	0
9	Special revenue funds:	
10	Total local revenues	0
11	Total private revenues	0
12	Total other state restricted revenues	33,849,400
13	State general fund/general purpose	\$ 0
14	(2) PARKS AND RECREATION DIVISION	
15	Recreational boating	\$ 165,600
16	GROSS APPROPRIATION	\$ 165,600
17	Appropriated from:	
18	Special revenue funds:	
19	Waterways account	165,600
20	State general fund/general purpose	\$ 0
21	(3) RECREATIONAL LANDS AND INFRASTRUCTURE	
22	Fisheries infrastructure	\$ 7,000,000
23	Recreational trail repairs and improvements	817,700
24	Snowmobile trail development and maintenance	1,907,900
25	State game and wildlife area infrastructure	10,000,000
26	GROSS APPROPRIATION	\$ 19,725,600
27	Appropriated from:	
28	Special revenue funds:	

1	Game and fish protection account	17,000,000
2	Recreation improvement account	817,700
3	Snowmobile trail improvement fund	1,907,900
4	State general fund/general purpose	\$ 0
5	(4) WATERWAYS BOATING PROGRAM	
6	State boating infrastructure and maintenance	\$ 10,736,800
7	GROSS APPROPRIATION	\$ 10,736,800
8	Appropriated from:	
9	Special revenue funds:	
10	Waterways account	10,736,800
11	State general fund/general purpose	\$ 0
12	(5) ONE-TIME APPROPRIATIONS	
13	Wildlife management	\$ 3,221,400
14	GROSS APPROPRIATION	\$ 3,221,400
15	Appropriated from:	
16	Special revenue funds:	
17	Game and fish protection account	3,221,400
18	State general fund/general purpose	\$ 0
19	Sec. 109. DEPARTMENT OF STATE POLICE	
20	(1) APPROPRIATION SUMMARY	
21	Full-time equated classified positions	0.0
22	GROSS APPROPRIATION	\$ 8,724,000
23	Interdepartmental grant revenues:	
24	Total interdepartmental grants and	
25	intradepartmental transfers	500,000
26	ADJUSTED GROSS APPROPRIATION	\$ 7,224,000
27	Federal revenues:	
28	Total federal revenues	0

1	Special revenue funds:	
2	Total local revenues	0
3	Total private revenues	0
4	Total other state restricted revenues	7,224,000
5	State general fund/general purpose	\$ 1,000,000
6	(2) LAW ENFORCEMENT SERVICES	
7	Biometrics and identification	\$ 700,000
8	Criminal Justice Information Center	1,550,000
9	Forensic science	1,200,000
10	Grants and community services	2,774,000
11	Training operations	500,000
12	GROSS APPROPRIATION	\$ 6,724,000
13	Appropriated from:	
14	Interdepartmental grant revenues:	
15	IDT, Michigan justice training fund	500,000
16	Special revenue funds:	
17	Auto theft prevention fund	2,774,000
18	Criminal Justice Information Center service	
19	fees	700,000
20	Michigan set aside fund	1,400,000
21	Sex offenders registration fund	150,000
22	State services fee fund	1,200,000
23	State general fund/general purpose	\$ 0
24	(3) INFORMATION TECHNOLOGY	
25	Information technology services and projects	\$ 1,000,000
26	GROSS APPROPRIATION	\$ 1,000,000
27	Appropriated from:	
28	Special revenue funds:	



1	Criminal Justice Information Center service		
2	fees		1,000,000
3	State general fund/general purpose	\$	0
4	(4) ONE-TIME APPROPRIATIONS		
5	Personal protection order grants	\$	1,000,000
6	GROSS APPROPRIATION	\$	1,000,000
7	Appropriated from:		
8	State general fund/general purpose	\$	1,000,000
9	Sec. 110. DEPARTMENT OF TECHNOLOGY, MANAGEMENT,		
10	AND BUDGET		
11	(1) APPROPRIATION SUMMARY		
12	Full-time equated classified positions	0.0	
13	GROSS APPROPRIATION	\$	3,100,000
14	Interdepartmental grant revenues:		
15	Total interdepartmental grants and		
16	intradepartmental transfers		0
17	ADJUSTED GROSS APPROPRIATION	\$	3,100,000
18	Federal revenues:		
19	Total federal revenues		100,000
20	Special revenue funds:		
21	Total local revenues		0
22	Total private revenues		0
23	Total other state restricted revenues		0
24	State general fund/general purpose	\$	3,000,000
25	(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT		
26	State archives	\$	100,000
27	GROSS APPROPRIATION	\$	100,000
28	Appropriated from:		

1	Federal revenues:		
2	Federal funds		100,000
3	State general fund/general purpose	\$	0
4	(3) ONE-TIME APPROPRIATIONS		
5	Gubernatorial transition costs	\$	3,000,000
6	GROSS APPROPRIATION	\$	3,000,000
7	Appropriated from:		
8	State general fund/general purpose	\$	3,000,000
9	Sec. 111. DEPARTMENT OF TRANSPORTATION		
10	(1) APPROPRIATION SUMMARY		
11	Full-time equated classified positions	0.0	
12	GROSS APPROPRIATION	\$	0
13	Interdepartmental grant revenues:		
14	Total interdepartmental grants and		
15	intradepartmental transfers		0
16	ADJUSTED GROSS APPROPRIATION	\$	0
17	Federal revenues:		
18	Total federal revenues		0
19	Special revenue funds:		
20	Total local revenues		0
21	Total private revenues		0
22	Total other state restricted revenues		0
23	State general fund/general purpose	\$	0
24	(2) ROAD AND BRIDGE PROGRAMS		
25	Local grade separation program	\$	40,000,000
26	Rail grade separation fund		(40,000,000)
27	GROSS APPROPRIATION	\$	0
28	Appropriated from:		

1	Special revenue funds:		
2	Local grade separation fund		40,000,000
3	Neighborhood roads fund		(40,000,000)
4	State general fund/general purpose	\$	0
5	(3) PUBLIC TRANSPORTATION DEVELOPMENT		
6	Infrastructure projects authority fund	\$	(65,000,000)
7	Infrastructure projects authority program		65,000,000
8	GROSS APPROPRIATION	\$	0
9	Appropriated from:		
10	Special revenue funds:		
11	Infrastructure projects authority fund		65,000,000
12	Neighborhood roads fund		(65,000,000)
13	State general fund/general purpose	\$	0
14	Sec. 112. DEPARTMENT OF MILITARY AND VETERANS		
15	AFFAIRS		
16	(1) APPROPRIATION SUMMARY		
17	Full-time equated classified positions	0.0	
18	GROSS APPROPRIATION	\$	152,000,000
19	Interdepartmental grant revenues:		
20	Total interdepartmental grants and		0
21	intradepartmental transfers		
22	ADJUSTED GROSS APPROPRIATION	\$	152,000,000
23	Federal revenues:		
24	Total federal revenues		0
25	Special revenue funds:		
26	Total local revenues		0
27	Total private revenues		0
28	Total other state restricted revenues		152,000,000



1	State general fund/general purpose	\$	0
2	(2) ONE-TIME APPROPRIATIONS		
3	Selfridge Air National Guard base	\$	152,000,000
4	GROSS APPROPRIATION	\$	152,000,000
5	Appropriated from:		
6	Special revenue funds:		
7	State restricted revenues		152,000,000
8	State general fund/general purpose	\$	0

PART 2

PROVISIONS CONCERNING APPROPRIATIONS
FOR FISCAL YEAR 2025-2026

GENERAL SECTIONS

Sec. 201. In accordance with section 30 of article IX of the state constitution of 1963, for the fiscal year ending September 30, 2026, total state spending from state sources under part 1 is \$502,215,300.00 and total state spending from state sources to be paid to local units of government is \$35,046,600.00. The following itemized statement identifies appropriations from which spending to local units of government will occur:

21	DEPARTMENT OF ENVIRONMENT, GREAT LAKES, AND		
22	ENERGY		
23	Executive direction	\$	3,000,000
24	Water quality programs		1,331,000
25	Subtotal	\$	4,331,000
26	DEPARTMENT OF HEALTH AND HUMAN SERVICES		
27	CHILDREN'S SERVICES AGENCY - CHILD WELFARE		
28	Child care fund	\$	10,194,100



1	Foster care payments	(10,200)
2	Strong families/safe children	2,800
3	PUBLIC ASSISTANCE	
4	State disability assistance payments	\$ (21,900)
5	LOCAL OFFICE OPERATIONS AND SUPPORT SERVICES	
6	Contractual services, supplies, and materials	\$ 3,000
7	BEHAVIORAL HEALTH PROGRAM ADMINISTRATION AND	
8	SPECIAL PROJECTS	
9	Behavioral health program administration	\$ (1,000)
10	BEHAVIORAL HEALTH SERVICES	
11	Autism services	\$ 16,786,000
12	Behavioral health community supports and	31,700
13	services	
14	Healthy Michigan plan - behavioral health	(6,651,200)
15	Medicaid mental health services	8,548,100
16	Medicaid substance use disorder services	(4,847,200)
17	Nursing home PAS/ARR-OBRA	1,059,200
18	STATE PSYCHIATRIC HOSPITALS AND FORENSIC MENTAL	
19	HEALTH SERVICES	
20	Caro Regional Mental Health Center -	\$ 12,900
21	psychiatric hospital - adult	
22	Center for forensic psychiatry	83,500
23	Kalamazoo Psychiatric Hospital - adult	3,300
24	Southeast Michigan state psychiatric hospital	7,200
25	Walter P. Reuther Psychiatric Hospital - adult,	(17,900)
26	children, and adolescents	
27	HEALTH AND HUMAN SERVICES POLICY AND	
28	INITIATIVES	

1	Domestic violence prevention and treatment	\$	1,600
2	LOCAL HEALTH AND ADMINISTRATIVE SERVICES		
3	Local health services	\$	127,100
4	CHILDREN'S SPECIAL HEALTH CARE SERVICES		
5	Medical care and treatment	\$	38,400
6	HEALTH SERVICES		
7	Adult home help services	\$	(500)
8	Ambulance services		3,300
9	Dental services		11,600
10	Federally qualified health centers		9,715,200
11	Healthy Michigan plan		21,100
12	Hospital services and therapy		18,000
13	Long-term care services		(1,753,500)
14	Medicaid home- and community-based services		(1,748,800)
15	waiver		
16	Physician services		(1,019,100)
17	Transportation		118,800
18	Subtotal	\$	30,715,600
19	TOTAL	\$	35,046,600

21 Sec. 202. The appropriations under this part and part 1 are
22 subject to the management and budget act, 1984 PA 431, MCL 18.1101
23 to 18.1594.

24 Sec. 203. Funds appropriated in part 1 must be allocated and
25 expended in a manner consistent with federal rules and regulations.

26 Sec. 204. Funds appropriated in part 1 are subject to
27 applicable federal audit and reporting requirements. Prompt action
28 shall be taken if instances of noncompliance are identified,
29 including noncompliance identified in an audit finding. If any



1 instance of noncompliance is identified, including noncompliance
2 identified in an audit finding, the state budget director shall
3 take necessary and immediate action to rectify it. The state budget
4 director shall notify the senate and house appropriations
5 committees and the senate and house fiscal agencies when an
6 instance of noncompliance is identified.

7 Sec. 205. The state budget director shall take steps to ensure
8 that all state fiscal recovery funds allocated to this state under
9 the American rescue plan act of 2021, Public Law 117-2, are
10 expended by December 31, 2026, as required by law. Any state fiscal
11 recovery funds that would otherwise lapse after September 30, 2026
12 are automatically reappropriated for the same purpose as originally
13 authorized and available for expenditure through December 31, 2026
14 and any subsequent financial close out period.

15 Sec. 206. (1) To ensure that all state fiscal recovery funds
16 allocated to this state under the American rescue plan act of 2021,
17 Public Law 117-2, are expended by December 31, 2026, as required by
18 law, the state budget director may reallocate appropriated funds
19 for the purpose of fully utilizing state fiscal recovery funds that
20 are in jeopardy of not meeting the expenditure deadline for reasons
21 that may include, but are not limited to, completed projects coming
22 in under budget or funds unable to be fully used by subrecipients.
23 The state budget director shall reallocate any of the funds
24 reallocated under this subsection to the programs or purposes
25 specified in this section. Any funds reallocated are unappropriated
26 and immediately reappropriated for the following purposes:

27 (a) To reclassify general fund/general purpose appropriations
28 for payroll and covered benefits for eligible public health and
29 safety employees at the department of corrections.



1 (b) To reclassify general fund/general purpose appropriations
2 for payroll and covered benefits for eligible public health and
3 safety employees at the department of state police.

4 (2) All applicable guidance, implementation, and reporting
5 provisions of the American rescue plan act of 2021, Public Law 117-
6 2, must be followed for state fiscal recovery funds reallocated and
7 reappropriated under subsection (1).

8 (3) The state budget director shall notify the senate and
9 house appropriations committees not later than 10 business days
10 after making any reallocations under subsection (1). The
11 notification must include the authorized program under which funds
12 were originally appropriated, the amount of the reallocation, the
13 program or programs, or purpose, and the department to which the
14 funds are being reallocated under subsection (1), and the amount
15 reallocated to each program or purpose.

16
17 **DEPARTMENT OF ENVIRONMENT, GREAT LAKES, AND ENERGY**

18 Sec. 301. (1) Funds appropriated in part 1 for state sites
19 cleanup program must be deposited into the state site cleanup fund
20 from surplus funds in the cleanup and redevelopment trust fund in
21 accordance with section 3e of 1996 PA 384, MCL 445.573e. All funds
22 in the state site cleanup fund are appropriated and available for
23 expenditure to support the implementation of the cleanup of
24 environmentally contaminated sites, in accordance with section
25 20108c of the natural resources and environmental protection act,
26 1994 PA 451, MCL 324.20108c.

27 (2) As used in this section:

28 (a) "Cleanup and redevelopment trust fund" means the cleanup
29 and redevelopment trust fund created by section 3e of 1996 PA 384,



1 MCL 445.573e.

2 (b) "State site cleanup fund" means the state site cleanup
3 fund created by section 20108c of the natural resources and
4 environmental protection act, 1994 PA 451, MCL 324.20108c.

5 Sec. 302. The unexpended funds appropriated in part 1 for
6 environmental cleanup and redevelopment program are designated as
7 work project appropriations, and any unencumbered or unallotted
8 funds shall not lapse at the end of the fiscal year and shall be
9 available for expenditures for projects under this section until
10 the projects have been completed. The following is in compliance
11 with section 451a of the management and budget act, 1984 PA 431,
12 MCL 18.1451a:

13 (a) The purpose of the projects is to provide contaminated
14 site cleanup.

15 (b) The projects will be accomplished by utilizing contracts
16 with service providers.

17 (c) The total estimated cost of the project is \$25,000,000.00.

18 (d) The tentative completion date is September 30, 2030.

19 Sec. 303. The unexpended funds appropriated in part 1 for PFAS
20 and emerging contaminants are designated as a work project
21 appropriation, and any unencumbered or unallotted funds shall not
22 lapse at the end of the fiscal year and shall be available for
23 expenditure for the project under this section until the project
24 has been completed. The following is in compliance with section
25 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

26 (a) The purpose of the project is to address emerging
27 contaminants in drinking water.

28 (b) The project will be accomplished by utilizing state
29 employees or contracts with service providers, or both.



1 (c) The total estimated cost of the project is \$39,585,000.00.

2 (d) The tentative completion date is September 30, 2030.

3 Sec. 304. The unexpended funds appropriated in part 1 for
4 executive direction are designated as a work project appropriation,
5 and any unencumbered or unallotted funds shall not lapse at the end
6 of the fiscal year and shall be available for expenditures for
7 projects under this section until the projects have been completed.
8 The following is in compliance with section 451a of the management
9 and budget act, 1984 PA 431, MCL 18.1451a:

10 (a) The purpose of the project is to support a ports program
11 and implementation of the Michigan maritime strategy.

12 (b) The project will be accomplished by utilizing state
13 employees or contracts with service providers, or both.

14 (c) The total estimated cost of the project is \$3,000,000.00.

15 (d) The tentative completion date is September 30, 2030.

16 Sec. 305. The unexpended funds appropriated in part 1 for
17 material management programs are designated as a work project
18 appropriation, and any unencumbered or unallotted funds shall not
19 lapse at the end of the fiscal year and shall be available for
20 expenditures for projects under this section until the projects
21 have been completed. The following is in compliance with section
22 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

23 (a) The purpose of the project is to support the coal
24 combustion residuals program.

25 (b) The project will be accomplished by utilizing state
26 employees or contracts with service providers, or both.

27 (c) The total estimated cost of the project is \$263,000.00.

28 (d) The tentative completion date is September 30, 2030.

29 Sec. 306. The unexpended funds appropriated in part 1 for



1 energy programs are designated as a work project appropriation, and
2 any unencumbered or unallotted funds shall not lapse at the end of
3 the fiscal year and shall be available for expenditures for
4 projects under this section until the projects have been completed.
5 The following is in compliance with section 451a of the management
6 and budget act, 1984 PA 431, MCL 18.1451a:

7 (a) The purpose of the project is to provide training for
8 residential contractors.

9 (b) The project will be accomplished by utilizing state
10 employees or contracts with service providers, or both.

11 (c) The total estimated cost of the project is \$4,125,000.00.

12 (d) The tentative completion date is September 30, 2030.

13 Sec. 307. The unexpended funds appropriated in part 1 for
14 executive direction are designated as a work project appropriation,
15 and any unencumbered or unallotted funds shall not lapse at the end
16 of the fiscal year and shall be available for expenditures for
17 projects under this section until the projects have been completed.
18 The following is in compliance with section 451a of the management
19 and budget act, 1984 PA 431, MCL 18.1451a:

20 (a) The purpose of the project is to support stormwater
21 management in the Ox Creek Watershed.

22 (b) The project will be accomplished by utilizing state
23 employees or contracts with service providers, or both.

24 (c) The total estimated cost of the project is \$1,300,000.00.

25 (d) The tentative completion date is September 30, 2030.

26 Sec. 308. The unexpended funds appropriated in part 1 for
27 material management programs are designated as a work project
28 appropriation, and any unencumbered or unallotted funds shall not
29 lapse at the end of the fiscal year and shall be available for



1 expenditures for projects under this section until the projects
2 have been completed. The following is in compliance with section
3 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

4 (a) The purpose of the project is to replace high-emission
5 vehicles.

6 (b) The project will be accomplished by utilizing state
7 employees or contracts with service providers, or both.

8 (c) The total estimated cost of the project is \$685,000.00.

9 (d) The tentative completion date is September 30, 2030.

10 Sec. 309. The unexpended funds appropriated in part 1 for
11 material management programs are designated as a work project
12 appropriation, and any unencumbered or unallotted funds shall not
13 lapse at the end of the fiscal year and shall be available for
14 expenditures for projects under this section until the projects
15 have been completed. The following is in compliance with section
16 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

17 (a) The purpose of the project is to support a SMART
18 manufacturing grant program.

19 (b) The project will be accomplished by utilizing state
20 employees or contracts with service providers, or both.

21 (c) The total estimated cost of the project is \$2,000,000.00.

22 (d) The tentative completion date is September 30, 2030.

23 Sec. 310. The unexpended funds appropriated in part 1 for
24 material management programs are designated as a work project
25 appropriation, and any unencumbered or unallotted funds shall not
26 lapse at the end of the fiscal year and shall be available for
27 expenditures for projects under this section until the projects
28 have been completed. The following is in compliance with section
29 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:



1 (a) The purpose of the project is to support a heavy-duty
2 vehicles program.

3 (b) The project will be accomplished by utilizing state
4 employees or contracts with service providers, or both.

5 (c) The total estimated cost of the project is \$4,406,000.00.

6 (d) The tentative completion date is September 30, 2030.

7 Sec. 311. The unexpended funds appropriated in part 1 for
8 material management programs are designated as a work project
9 appropriation, and any unencumbered or unallotted funds shall not
10 lapse at the end of the fiscal year and shall be available for
11 expenditures for projects under this section until the projects
12 have been completed. The following is in compliance with section
13 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

14 (a) The purpose of the project is to support food waste
15 reduction.

16 (b) The project will be accomplished by utilizing state
17 employees or contracts with service providers, or both.

18 (c) The total estimated cost of the project is \$700,000.00.

19 (d) The tentative completion date is September 30, 2030.

20 Sec. 312. The unexpended funds appropriated in part 1 for
21 Great Lakes restoration initiative are designated as a work project
22 appropriation, and any unencumbered or unallotted funds shall not
23 lapse at the end of the fiscal year and shall be available for
24 expenditures for projects under this section until the projects
25 have been completed. The following is in compliance with section
26 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

27 (a) The purpose of the project is to support work in the
28 Detroit and Rouge River areas of concern.

29 (b) The project will be accomplished by utilizing state



employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$6,500,000.00.

(d) The tentative completion date is September 30, 2030.

Sec. 313. The unexpended funds appropriated in part 1 for federal - Great Lakes remedial action plan grants are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support Great Lakes remedial action plan grants.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$1,162,000.00.

(d) The tentative completion date is September 30, 2030.

Sec. 314. The unexpended funds appropriated in part 1 for water quality programs are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to provide grants to municipalities for sewer and stormwater infrastructure projects.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$1,331,000.00.



1 (d) The tentative completion date is September 30, 2030.

2 Sec. 315. The unexpended funds appropriated in part 1 for
3 water state revolving funds are designated as a work project
4 appropriation, and any unencumbered or unallotted funds shall not
5 lapse at the end of the fiscal year and shall be available for
6 expenditure for the project under this section until the project
7 has been completed. The following is in compliance with section
8 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

9 (a) The purpose of the project is to support drinking water
10 and wastewater large-scale construction projects.

11 (b) The project will be accomplished by utilizing state
12 employees or contracts with service providers, or both.

13 (c) The total estimated cost of the project is
14 \$123,273,000.00.

15 (d) The tentative completion date is September 30, 2030.

16 Sec. 316. The unexpended funds appropriated in part 1 for
17 state sites cleanup program are designated as work project
18 appropriations, and any unencumbered or unallotted funds shall not
19 lapse at the end of the fiscal year and shall be available for
20 expenditures for projects under this section until the projects
21 have been completed. The following is in compliance with section
22 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

23 (a) The purpose of the project is to provide contaminated site
24 cleanup at state-owned properties.

25 (b) The projects will be accomplished by utilizing contracts
26 with service providers.

27 (c) The total estimated cost of all projects is
28 \$25,256,000.00.

29 (d) The tentative completion date is September 30, 2030.



DEPARTMENT OF HEALTH AND HUMAN SERVICES

Sec. 401. (1) The funds appropriated in part 1 for Medicaid work requirement grant shall be used for administrative costs directly associated with establishing systems and processes necessary to implement the work and community engagement requirements and other changes to eligibility determinations or redeterminations required by the 2025 budget reconciliation act, Public Law 119-21.

(2) The unexpended funds appropriated in part 1 for Medicaid work requirement grant are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the work project is to implement the work and community engagement requirements and other changes to eligibility determinations or redeterminations required by the 2025 budget reconciliation act, Public Law 119-21.

(b) The work project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated completion cost of the work project is \$5,000,000.00.

(d) The tentative completion date for the work project is September 30, 2030.

Sec. 402. In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed \$100,000,000.00 for state restricted Medicaid caseload reserve fund contingency



1 authorization. Amounts appropriated under this section are not
2 available for expenditure until they have been transferred to
3 another line item in part 1 under section 393(2) of the management
4 and budget act, 1984 PA 431, MCL 18.1393. It is the intent of the
5 legislature that this authorization must only be used to address
6 caseload costs in the traditional Medicaid program and the Healthy
7 Michigan plan.

8 Sec. 403. (1) From the funds appropriated in part 1 for
9 community health screenings, the department shall allocate
10 \$5,000,000.00 as a grant to a nonprofit organization that is
11 organized under the laws of this state, is exempt from federal
12 income tax under section 501(c)(3) of the internal revenue code of
13 1986, 26 USC 501, and is located in a city with a population
14 between 20,000 and 24,000 and in a county with a population between
15 1,200,000 and 1,300,000 according to the most recent federal
16 decennial census, to conduct community health screenings and to
17 collect and distribute public health data on underserved urban and
18 rural populations, first responders, and veterans, to the
19 department.

20 (2) Funds appropriated for community health screenings are
21 considered work project funds, do not lapse at the end of the
22 fiscal year, and are available for expenditures for projects under
23 this section until the projects have been completed. The following
24 is in compliance with section 451a of the management and budget
25 act, 1984 PA 431, MCL 18.1451a:

26 (a) The purpose of the work project is to provide funding for
27 health screenings at no cost to the public in order to reduce
28 health disparities in rural or medically underserved communities.

29 (b) The work project will be accomplished through partnerships



1 with nonprofit agencies.

2 (c) The total estimated cost of the work project is
3 \$5,000,000.00.

4 (d) The tentative completion date for the work project is
5 September 30, 2030.

6 Sec. 404. From the funds appropriated in part 1 for
7 implementation of maternal health policy changes, the department
8 shall allocate \$299,700.00 to implement 2024 PA 256.

9 Sec. 405. (1) From the funds appropriated in part 1 for
10 underserved healthcare facility project, the department shall
11 allocate \$1,500,000.00 to a nonprofit organization organized under
12 the laws of this state that is exempt from federal income tax under
13 section 501(c)(3) of the internal revenue code of 1986, 26 USC 501,
14 to support a pediatric and sedation dentistry clinic. The pediatric
15 and sedation dentistry clinic must serve uninsured and underinsured
16 children and adolescents and eligible adults who have a mental
17 illness, severe emotional disturbance, intellectual developmental
18 disorder, or co-occurring substance use disorder. To be eligible
19 for the funds under this section, the nonprofit organization must
20 meet all of the following requirements:

21 (a) Have a stated mission of providing medical, behavioral,
22 and mental health services, as well as other related support
23 services, to underserved populations in Detroit, Wayne County, and
24 surrounding counties, and throughout Michigan.

25 (b) Have its administrative office located in a county with a
26 population of greater than 1,750,000 and in a city with a
27 population between 109,000 and 111,000 according to the most recent
28 federal decennial census.

29 (2) The unexpended funds appropriated in part 1 for



underserved healthcare facility project are designated as a work project appropriation. Unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures under this section until the project has been completed. All of the following are in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support a pediatric and sedation dentistry clinic.

(b) The project will be accomplished by a CARF International accredited wellness center.

(c) The estimated cost of the project is \$1,500,000.00.

(d) The tentative completion date is September 30, 2030.

DEPARTMENT OF LABOR AND ECONOMIC OPPORTUNITY

Sec. 501. The unexpended funds appropriated in part 1 for state historic preservation office grant program are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditure for the project under this section until the project has been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support stabilization and rehabilitation of historic properties in rural communities.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$750,000.00.

(d) The tentative completion date is September 30, 2031.

Sec. 502. All funds received in the prevailing wage fund



1 created in section 25a of 2023 PA 10, MCL 408.1125a, are
2 appropriated for the purposes allowable under 25a of 2023 PA 10,
3 MCL 408.1125a.

4 Sec. 503. (1) The one-time funds appropriated in part 1 for
5 office of future mobility and electrification shall be used to
6 further the state's emerging aviation and advanced air mobility
7 sector in alignment with Executive Directive No. 2025-4. Funds may
8 be used for advanced air mobility infrastructure deployment to
9 enable Beyond Visual Line of Sight operations, for efforts that
10 further develop this emerging sector, and workforce development
11 strategies to aid in this industry transition.

12 (2) The office of future mobility and electrification shall
13 collaborate with other state departments, including the department
14 of military and veterans affairs and the department of
15 transportation, on the implementation of this program. As necessary
16 to improve the administration or oversight of any of the dollars
17 appropriated under this part and part 1, the department may adopt a
18 memorandum of understanding with another state department to
19 perform the required duties under this section. Any grant money
20 that is awarded to a state department is appropriated in that
21 department for the purpose of the intended grant.

22 (3) In addition to the funds appropriated in part 1, federal
23 funds received by the office of future mobility and
24 electrification, or another state department or agency, for the
25 purposes of advancing the state's aviation and advanced air
26 mobility sector are appropriated for the purposes outlined in the
27 federal grant award. Unexpended federal funds received under this
28 section may be carried forward into the succeeding fiscal year.

29 (4) The unexpended funds appropriated in part 1 for the office



1 of future mobility and electrification are designated as a work
2 project appropriation, and any unencumbered or unallotted funds
3 shall not lapse at the end of the fiscal year and shall be
4 available for expenditures for projects under this section until
5 the projects have been completed. The following is in compliance
6 with section 451a of the management and budget act, 1984 PA 431,
7 MCL 18.1451a:

8 (a) The purpose of the project is to support the emerging
9 aviation and advanced air mobility sector.

10 (b) The project will be accomplished by utilizing state
11 employees, or contracts with service providers, or both.

12 (c) The total estimated cost of the project is \$1,000,000.00.

13 (d) The tentative completion date is September 30, 2030.
14

15 **DEPARTMENT OF NATURAL RESOURCES**

16 Sec. 601. The unexpended funds appropriated in part 1 for
17 wildlife management are designated as a work project appropriation,
18 and any unencumbered or unallotted funds shall not lapse at the end
19 of the fiscal year and shall be available for expenditure for the
20 project under this section until the project has been completed.
21 The following is in compliance with section 451a of the management
22 and budget act, 1984 PA 431, MCL 18.1451a:

23 (a) The purpose of the project is to support Michigan's
24 participation in the Chronic Wasting Disease Research Consortium
25 study.

26 (b) The project will be accomplished by utilizing state
27 employees, contracts with service providers, or grants.

28 (c) The total estimated cost of the project is \$3,221,400.00.

29 (d) The tentative completion date is September 30, 2030.



DEPARTMENT OF STATE POLICE

Sec. 651. From the funds appropriated in part 1 for personal protection order grants, \$1,000,000.00 must be allocated by the department of state police to reimburse law enforcement agencies for the cost of serving personal protection orders. It is the intent of the legislature that the department ensure that the sum total of grants issued under this section and under section 454(12) of article 16 of 2025 PA 22 not exceed \$1,000,000.00.

DEPARTMENT OF TECHNOLOGY, MANAGEMENT, AND BUDGET

Sec. 701. The unexpended funds appropriated in part 1 for gubernatorial transition costs are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to provide for executive office transition costs.

(b) The projects will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$3,000,000.00.

(d) The tentative completion date is September 30, 2030.

Sec. 702. Pursuant to section 352 of the management and budget act, 1984 PA 431, MCL 18.1352, there is appropriated from the countercyclical budget and economic stabilization fund created under section 351 of the management and budget act, 1984 PA 431, MCL 18.1351, to the Medicaid caseload reserve fund created by



section 901 the sum of \$200,000,000.00. The annual growth rate of adjusted personal income for the current calendar year was estimated to be less than 0% at the most recent consensus revenue estimating conference. The amount appropriated in this part is less than the maximum allowed under section 352(2) of the management and budget act, 1984 PA 431, MCL 18.1352.

Sec. 703. Pursuant to section 352 of the management and budget act, 1984 PA 431, MCL 18.1352, there is appropriated from the countercyclical budget and economic stabilization fund created under section 351 of the management and budget act, 1984 PA 431, MCL 18.1351, to the HR-1 costs fund created by section 902 the sum of \$150,000,000.00. The annual growth rate of adjusted personal income for the current calendar year was estimated to be less than 0% at the most recent consensus revenue estimating conference. The amount appropriated in this part is less than the maximum allowed under section 352(2) of the management and budget act, 1984 PA 431, MCL 18.1352.

DEPARTMENT OF TRANSPORTATION

Sec. 801. (1) Funds from the neighborhood roads fund must be distributed and are appropriated to the local grade separation fund, comprehensive transportation fund, infrastructure projects authority fund, and the state trunkline fund, in accordance with this part and part 1, and section 13c of 1951 PA 51, MCL 247.663c.

(2) As used in this section:

(a) "Comprehensive transportation fund" means the comprehensive transportation fund created in section 10b of 1951 PA 51, MCL 247.660b.

(b) "Infrastructure projects authority fund" means the



1 infrastructure projects authority fund created by section 13c of
 2 1951 PA 51, MCL 247.663c.

3 (c) "Local grade separation fund" means the local grade
 4 separation fund created by section 11i of 1951 PA 51, MCL 247.661i.

5 (d) "Neighborhood roads funds" means the neighborhood roads
 6 fund created by section 13c of 1951 PA 51, MCL 247.663c.

7 (e) "State trunkline fund" means the state trunkline fund
 8 created by section 11 of 1951 PA 51, MCL 247.661.

9 Sec. 802. At the close of the fiscal year, any unencumbered
 10 and unexpended balance in the neighborhood roads fund not
 11 previously allocated under section 13c(5)(a) to (e) of 1951 PA 51,
 12 MCL 247.663c, remains in the neighborhood roads fund and carries
 13 forward and is appropriated to local road agencies and the state
 14 trunkline fund according to section 13c(5) of 1951 PA 51, MCL
 15 247.663c.

16 Sec. 803. (1) At the close of the fiscal year, any
 17 unencumbered and unexpended balance in the movable bridge fund
 18 remains in the movable bridge fund and carries forward and is
 19 appropriated for the purposes described in section 11g(3)(b) of
 20 1951 PA 51, MCL 247.661g.

21 (2) As used in this section, "moveable bridge fund" means the
 22 moveable bridge fund created by section 11g of 1951 PA 51, MCL
 23 247.661g.

24 25 **DEPARTMENT OF TREASURY**

26 Sec. 901. (1) The Medicaid caseload reserve fund is created in
 27 the state treasury. The purpose of the fund is to support Medicaid
 28 caseload costs that occur at levels above appropriated amounts.

29 (2) Money may be spent from the fund only on appropriation.



(3) The state treasurer shall deposit money and other assets received under section 702 or from any other source in the fund. The state treasurer shall direct the investment of money in the fund and credit interest and earnings from the investments to the fund.

(4) Money in the fund at the close of the fiscal year remains in the fund and does not lapse to the general fund.

(5) As used in this section, "fund" means the Medicaid caseload reserve fund created by subsection (1).

Sec. 902. (1) The HR-1 costs fund is created within the state treasury. The purpose of the fund is to support costs that occur as a result of administering or implementing the 2025 budget reconciliation act, Public Law 119-21.

(2) Money may be spent from the fund only on appropriation.

(3) The state treasurer shall deposit money and other assets received under section 703 or from any other source in the fund. The state treasurer shall direct the investment of money in the fund and credit interest and earnings from the investments to the fund.

(4) Money in the fund at the close of the fiscal year remains in the fund and does not lapse to the general fund.

(5) As used in this section, "fund" means the HR-1 costs fund created by subsection (1).

DEPARTMENT OF MILITARY AND VETERANS AFFAIRS

Sec. 1001. (1) Funds appropriated in part 1 for Selfridge Air National Guard Base must be used to support costs of runway encroachment solutions while complying with air installation compatible use zone program recommendations, including, but not



1 limited to, all of the following:

2 (a) Capital improvements necessary to shift the runway to the
3 north and repair the airfield and nonairfield features of the base
4 and surrounding community impacted by the shift.

5 (b) Infrastructure projects including, but not limited to,
6 roadways repairs, vehicle access to the base and to the museum,
7 stormwater drain and culvert repairs and modernization, force
8 protection features, airfield features, and taxiway extensions.

9 (2) The funds appropriated in part 1 for Selfridge Air
10 National Guard base may be spent only if the state budget director
11 determines that funds sufficient to make necessary improvements to
12 Selfridge Air National Guard base as described under subsection (1)
13 were not appropriated under Senate Bill No. 865 of the 103rd
14 Legislature for the fiscal year ending September 30, 2026.

15 (3) Unexpended funds appropriated in part 1 for Selfridge Air
16 National Guard Base are designated as a work project appropriation.
17 Unencumbered or unallotted funds shall not lapse at the end of the
18 fiscal year and shall be available for expenditures under this
19 section until the project has been completed. The following is in
20 compliance with section 451a of the management and budget act, 1984
21 PA 431, MCL 18.1451a:

22 (a) The purpose of the project is to support costs of runway
23 encroachment solutions.

24 (b) The project will be accomplished by utilizing state
25 employees, contracts with service providers, or both.

26 (c) The total estimated cost of the project is
27 \$152,000,000.00.

28 (d) The tentative completion date is September 30, 2027.

29 Sec. 1002. (1) The department shall identify 1 or more of the



1 following methods for funding Selfridge Air National Guard Base
2 under part 1:

3 (a) Unobligated work project account balances associated with
4 the strategic outreach and attraction reserve fund created in
5 section 4 of the Michigan trust fund act, 2000 PA 489, MCL 12.254,
6 or other lapsed account balances determined by the state budget
7 director.

8 (b) Unobligated general fund/general purpose or federal
9 appropriations that are eligible to support Selfridge Air National
10 Guard Base infrastructure improvements.

11 (c) Special obligation bond financing through the Michigan
12 strategic fund created in section 5 of the Michigan strategic fund
13 act, 1984 PA 270, MCL 125.2005.

14 (2) The department must make every effort to fully utilize the
15 funding options and available revenues identified in subsection
16 (1). After identifying 1 or more of the funding sources under
17 subsection (1) and amounts available from those funding sources
18 that will be used to support Selfridge Air National Guard Base, the
19 department shall identify any remaining costs.

20 (3) Pursuant to section 352 of the management and budget act,
21 1984 PA 431, MCL 18.1352, there is appropriated from the
22 countercyclical budget and economic stabilization fund created
23 under section 351 of the management and budget act, 1984 PA 431,
24 MCL 18.1351, an amount equal to the amount identified by the
25 department under subsection (2) to support remaining costs for
26 Selfridge Air National Guard Base appropriated in part 1. The
27 annual growth rate for the current calendar year was estimated to
28 be less than 0% at the most recent consensus revenue estimating
29 conference.



1

2 **REPEALERS**

3 Sec. 1101. Sections 1964, 1968, and 1977 of article 6 of 2026
4 PA 22 are repealed.

5 Enacting section 1. This act does not take effect unless
6 Senate Bill No. 878 of the 103rd Legislature is enacted into law.



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